

CHAPTER REVIEW QUESTIONS: Answers and Explanations

1. **e.** Abel, as a general partner, has unlimited personal liability for tort liabilities of the partnership. Baker is a limited partner, so his personal assets are not at risk if the business has no assets.
2. **b.** Under the RUPA, the partners may choose to continue the venture or dissolve the partnership. Answer (a) is incorrect because the RUPA does not require the partnership to dissolve upon a disassociating partner's exit. Answer (c) is incorrect because the partners must now decide whether to continue or dissolve. Answers (d) and (e) are incorrect statements of law.
3. **e.** The agreement creates an explicit agreement, and the three-year limit indicates a term partnership.
4. **c.** When a partner faces unlimited personal liability due to the acts of another partner, this is known as joint-and-several liability.
5. **a.** Absent a partnership agreement, all partners share equally in profits.
6. **a. True.** Absent a partnership agreement, Susan can hire staff because this is within the ordinary course of business and she has coequal management rights.
7. **b. False.** Taking personal advantage of a business opportunity is a breach of the duty of loyalty.
8. **a. True.** The assets brought in to capitalize a partnership are recorded in the capital contribution portion of the partnership agreement.
9. **b. False.** A general partnership is legally required to pursue profits.
10. **a. True.** If a partner suffers liability or an expense from conducting partnership business, they are legally entitled to reimbursement, which is known as the right to indemnity.